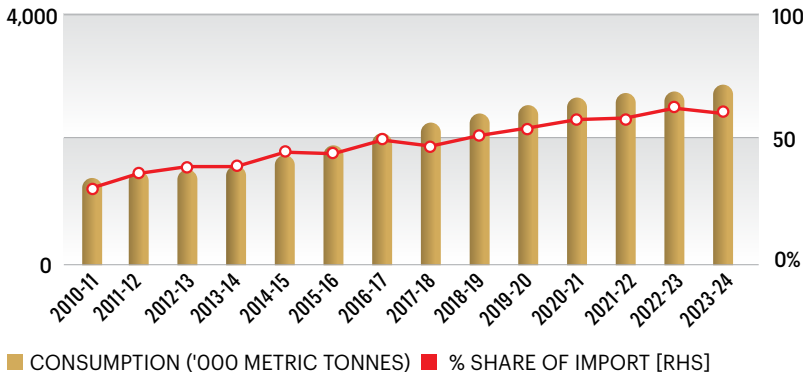
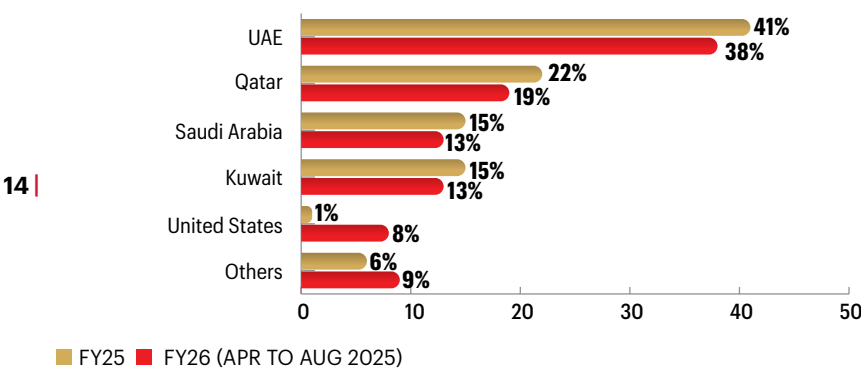


CONSUMPTION OF LPG



SOURCE PETROLEUM PLANNING & ANALYSIS CELL

COUNTRY-WISE SHARE IN LPG IMPORTS



SOURCE CRISIL ANALYSIS

sential Commodities Act (ECA) to protect domestic households that use cooking gas and has asked refineries and petrochemical units to maximise production of liquefied petroleum gas (LPG). This followed an increase in the price of domestic cooking gas cylinder by ₹60 after India's top gas importer Petronet LNG issued a force majeure notice. However, hotels and commercial establishments will face some cuts.

India imports close to 85% of its crude oil requirement—primarily from West Asia and Russia. The Strait of Hormuz accounts for near-

ly 50% of those shipments. Around 40-45% of India's crude imports come from the UAE, Saudi Arabia, Kuwait, and Iraq. Crucially, the conflict has come at a time when India was planning to reduce its imports from Russia following an interim trade agreement with the US.

West Asia supplies 68.4% of India's LNG imports.

Geopolitical Expert Narendra Taneja says that India consumes around 5.8 million barrels of oil a day of which it imports around 5.2 million barrels from 41 different countries. India imports the

bulk of its oil requirements from the Gulf region, including Saudi Arabia, Oman, Kuwait, Iraq, Abu Dhabi and liquefied natural gas from Qatar. "The current war has led to a twofold challenge—a rise in prices of crude oil and a disruption in oil availability and supply," he says.

Indian trade is feeling the heat and exporters are worried about delayed shipments, higher freight and insurance premium. The Department of Commerce is in talk with exporters and the government has set up an inter-ministerial group for supply chain resilience to facilitate effective coordination, monitoring and follow-up. Shipments bound for North America and Europe could take longer if ships are forced to pass through the Cape of Good Hope.

India's export exposure to the West Asia is relatively moderate, with the Gulf Cooperation Council (GCC) countries accounting for about 13% of total exports. However, these include crucial items, including fertilisers, rough diamonds, polythene and limestone, sulphur and gypsum, as a report by GTRI pointed out.

India could face a potentially bigger crisis as supply of fertilizer and urea, a key import from the Gulf region, get impacted as supplies dwindle and prices rise ahead of the main Kharif sowing season, which accounts for 55% of the country's agricultural output. India imports about 30% of its fertilizer requirement and the region supplies nearly 40% of it, as per Crisil Ratings. The domestic industry is facing supply chain shocks across other commodities as well. The government hopes that the war will be short lived and contained. But if the conflict prolongs, its repercussions would be far reaching for both India and the world. **BT**

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